

“We are playing to our strengths... brand-building, innovation, global portfolio, [and] strong local brands with the right marketing”

HINA NAGARAJAN
MD & CEO, Diageo India

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What was your mandate when you took charge?

Though Diageo acquired United Spirits in 2014, we spent a large part of our time till 2021 resolving legacy issues. Simultaneously, we brought in the Diageo culture and its way of doing business. There were a few serious challenges to deal with. The India business was at a single-digit Ebitda margin, and it was all about improving profitability to bring it to the early double digits.

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Looking back, what struck you as the big growth opportunity in India at that point?

As a company, Diageo was also leading the change in reputation in the overall alcobev business. In terms of business, the overall growth of the market was 3-4% each year. The interesting piece was [that] the premium end was growing at 7-8%. In that sense, the mandate was very clearly laid out—bring in top line growth and leverage the premiumisation

in the market to dial up that growth for more profitability.

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How did you go about that in a very competitive Indian market?

Among the first things we did was to formulate a new strategy, with three pillars. The first was to reshape our portfolio to deliver that double-digit growth and leverage the clear opportunity in premiumisation. The second part was to build an organisation of the future. The world around us is changing quite dramatically and it was obvious that we must have the capabilities with respect to digital acceleration. We also wanted to be the most inclusive company. The last component came down to defining and delivering a far more ambitious role for Diageo in society.

Now, when I look back at it, the strategy has been validated. We have delivered on a sharp surge in our top lines and the premium end has doubled its historical growth. In 2022,



look at the diverse portfolio that United Spirits got when it was formed in 2006 by merging McDowell, Herbertsons, Triumph Distillers and Vintners and Shaw Wallace Distillers, among others. Most were “popular” brands such as Old Tavern, Haywards, Green Label, White Mischief, Honey Bee, and Romanov. In liquor, popular, prestige, premium and luxury categories are derived from price points.

“Some of the brands were flat or even declining, and we had to look at the future of the overall business,” explains Nagarajan. In September 2022, Diageo sold 32 brands in the popular segment to In-Brew Beverages and franchised out 11 for five years. While taking the road to premiumisation, Diageo retained McDowell’s brandy, rum and DSP Black, which she terms “the first bridge from popular”.

Abhijeet Kundu, Senior Vice President of Research at Antique Stock Broking, thinks a combination of inflation and regulation on product pricing makes the mass segment a difficult business. “The effort you put in is never commensurate with the margins. The company’s profitability took off after the deal, and they clearly made the right decision.” Look at the numbers (*see graphic ‘Big Shot’*) and see how volumes declined from 72.5 million cases in FY23 to 61.4 million cases in FY24, dragging down revenues for a while but pushing up net profit margins steadily (up 50% between FY22 and FY24).

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YO, HO, HO... AND INNOVATION!

Diageo India is cranking up its innovation engine, adding a twist of speed. Earlier, it would take 18-24 months from inception to launch. Not good enough to grab today’s evolved consumer.

Nagarajan holds up Epitome Reserve, a craft whisky. “We got it out in 95 days flat. The secret was to have agile teams and not get bogged down by processes,” she says. While Epitome was a test case, the process is now down to six to nine months. People tend to underestimate how much they can achieve, and she says the worst case was not working within the stiff deadline. “There is a start-up mentality within the organisation where I ensure very few things come to my table,” she says. She wants to create an “entrepreneurial FMCG” where even a 50% success rate will make it more agile.

The “I” in Vikram Damodaran’s title of CIO stands for Innovation. Innovation comes from getting consumer insights and trends right, which is the CIO’s job. Getting it right is not easy, but the upside is huge if the company does.